IT Department Budget Guidelines: Supplement

IT Budget Transfer Essentials

November 2026 Kickoff

Where This Document Fits

Supplements the IT Department Budget Guidelines only where the IT budget transfer needs it

Company-wide Budgeting Guidelines Company-wide	Company-wide budgeting rules. The IT budget transfer was decided here
IT Department Budget Guidelines GDS	GDS budgeting principles and operations
This document: Supplement (IT Budget Transfer Essentials) GDS teams	Transfer policy, approach and role template. Anything beyond the policy is agreed with each Function

Rules for using this document

- If this document conflicts with the Guidelines, the Guidelines prevail
- For GxP work, the SOPs and procedures set by Quality Assurance prevail. Use the roles in this document as a template
- Below this document: the charter, runbook and budget transfer sheet. Record agreements in the agreement document

What This Document Covers

Three things each team needs to know to carry out the budget transfer

1

Understand this term's goal

Transfer approval granted by end of December, and how to get there

2

Changes in roles after the transfer

Division of roles between the Functions and GDS (RACI)

3

IT asset management

Ownership of fixed assets and depreciation (held by GDS, which holds the budget)

This Term's Goal

Transfer approval granted by end of December

This term we aim for approval by end of December. Creating value from the transfer will be considered next term

Premises

Decided as company-wide policy

- Decided by management and stated in the company-wide budgeting guidelines
- Covers all departments except Sales (incl. HR, GA and Finance). All have been informed
- Scope: budgets, contracts and admin work for business applications and related tools

Policy

Budgets fall into three groups by timing

Move together on Jan 1, 2027
- Operating expense budgets (maintenance, licenses, cloud fees, outsourcing)

Held by GDS from next year's budget
- Budgets for IT investment projects starting next year

Timing agreed case by case
- IT investment projects continuing from this year (acquired assets, CIP, started work). Agree timing with the transferring Function and confirm with Finance (slide 7)

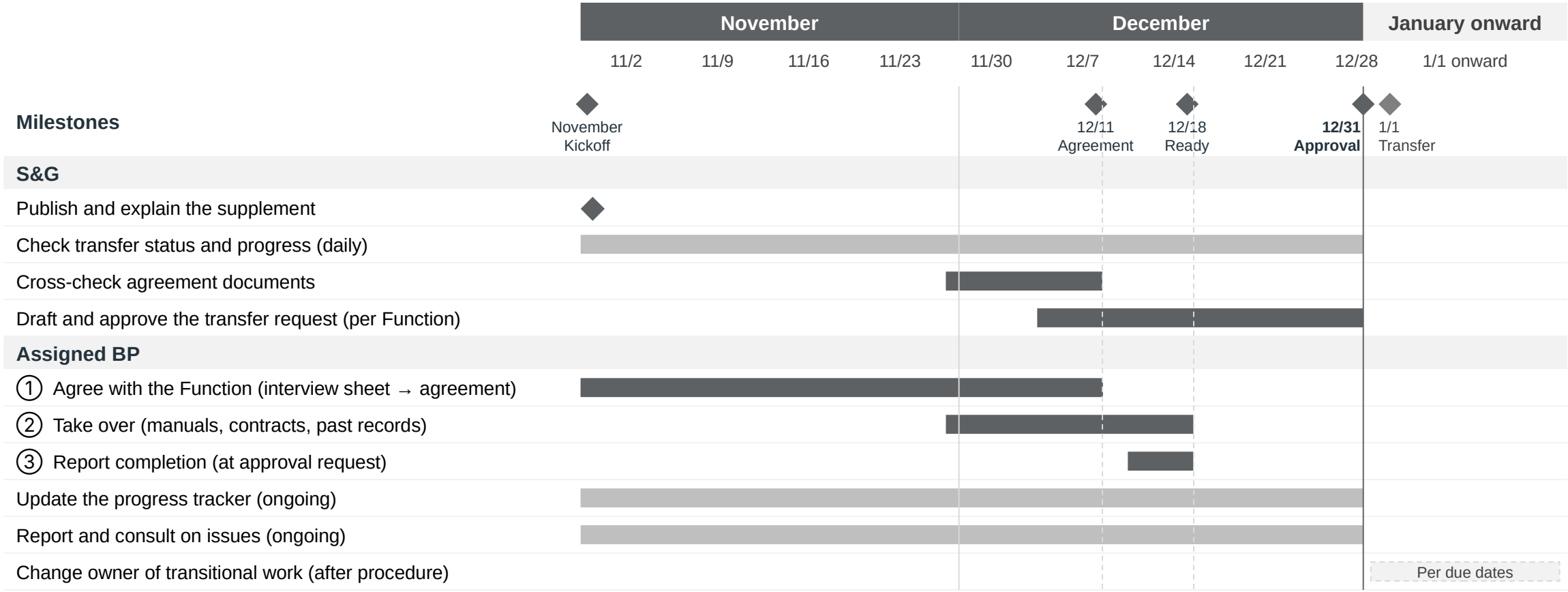
Goal

Transfer approval granted by end of December

Done by end of December
- Approval information (budgets, contracts, next year's budget, agreements) is ready
- Handover is done; GDS can manage contracts and pay from January

Handled step by step after the transfer
- Work needing formal change procedures (SOP, GxP) stays with the current owner until done (transitional). Record it in the agreement
- Signatory changes to GDS at next renewal; tell suppliers the new invoice addressee by early Feb

November–December Schedule (Indicative)



S&G done state: transfer approval is granted

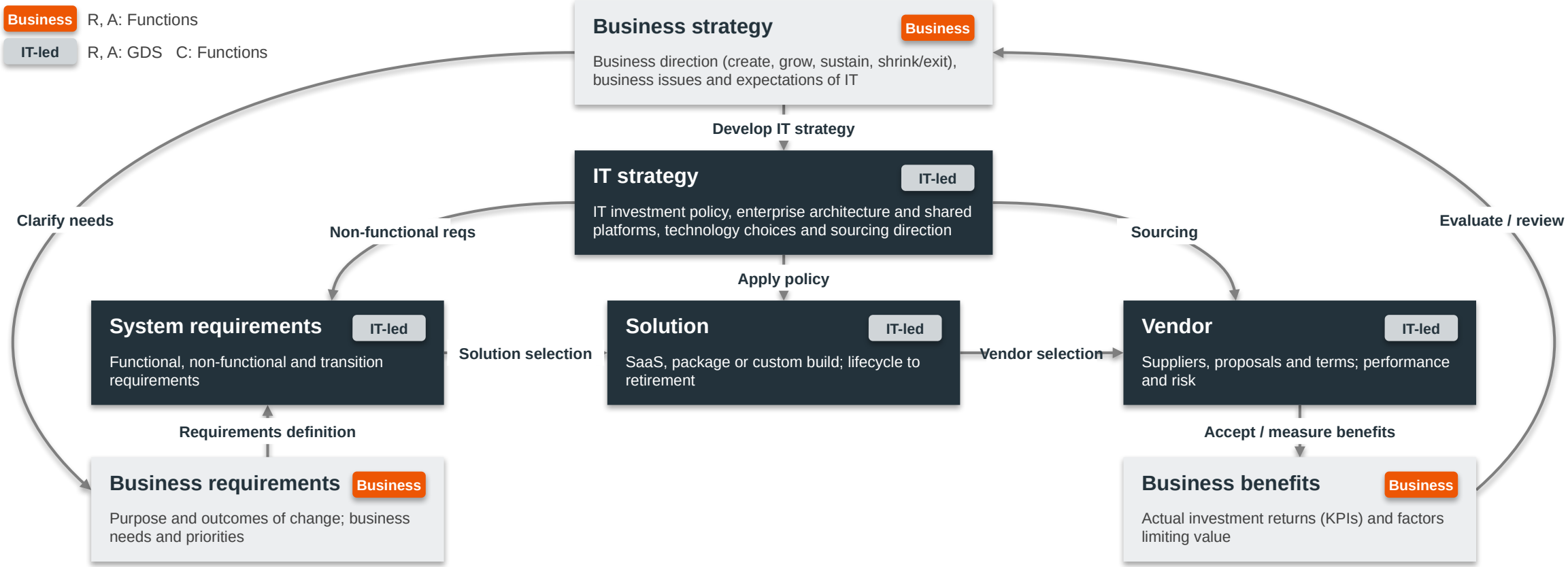
Requires: agreements and completion reports for all cases, an up-to-date progress tracker, and the approval information (budgets and contracts to move, next year's budget) in order

Assigned BP done state: ready to start the work after the transfer

Requires: an approved agreement (budgets and contracts, work to take over, reporting route, timing) and the manuals, contracts and records taken over

Roles After the Transfer (RACI)

In IT-led domains, GDS leads (R) and decides (A) with the Functions' advice (C)
Exception: systems specific to one Function with no impact on others



GDS management (A, R)

IT financial management

Budget planning and execution, cost visibility by Function and project, comparing investment benefits with costs

Contract management

Agreeing and revising terms for licenses, cloud, maintenance and outsourcing

Service quality management

Agreeing and monitoring service levels, validation, and change control (incl. GxP)

Fixed Assets Are Held by GDS, Which Holds the Budget

GDS also manages assets and depreciation; R&D and manufacturing costs are allocated to the benefiting Function

Type of IT investment	CIP	Fixed asset account (asset owner = bears depreciation)		
		Single Function	Shared (multiple)	Enterprise-wide
① **New business app (package, configured)**	GDS	GDS	GDS	N/A
② **Custom business app / add-on**	GDS	GDS	GDS	N/A
③ **Upgrade of existing asset (capex)**	GDS	GDS	GDS	GDS
④ **Perpetual software license**	None	GDS	GDS	GDS
⑤ **Hardware and equipment**	None	GDS	GDS	GDS
⑥ **Platforms and shared services (cloud, data)**	GDS	N/A	GDS	GDS (not in scope)

Assets held or in progress at the time of transfer

① Acquired assets

Capitalized at transfer, with depreciation started

② Construction in progress (CIP)

Recorded as CIP at transfer, to be capitalized next year

③ Started, not yet in CIP

Work started but nothing yet recorded as CIP

All move to GDS. Agree the timing with the transferring Function and confirm with Finance so the accounting is handled correctly